

Sales & Discount Policy

Internal reference document for the AI Business Analyst. This is a lightweight analytical policy intended to provide business context for reasoning; it is not a rigid approval rule.

1. Sales definition

- For this dataset, Sales represents Gross Sales and is calculated before discount. It must not be described as net sales or post-discount revenue.
- The observed arithmetic relationship is: $\text{Gross Sales} = \text{Quantity} \times (\text{Unit Price} + \text{Discount})$.
- Accordingly, the Discount field is not already deducted from Sales.

2. Discount definition

- Discount is represented as an absolute monetary reduction per unit, not as a percentage. For example, 0.20 means 0.20 currency units per unit, not 20%.
- The dataset contains discount values ranging from 0.00 to 0.80. The most common observed values include 0.00 and 0.20.
- When comparing discounts, distinguish between discount per unit and total discount exposure. Total discount exposure can be approximated as $\text{Discount} \times \text{Quantity}$.

3. Analytical interpretation

- A higher discount should be treated as a potential profitability driver, not automatically as a bad business decision.
- The analyst should compare discount levels with profit, ROS, sales volume and product mix before concluding that discounting caused a result.
- Because Sales is gross, discount-impact analysis should not subtract Discount from Sales a second time.

4. Recommended investigation questions

- Are higher discount levels associated with lower ROS?
- Which products or customer groups receive relatively high discounts?
- Are discounted orders generating enough volume or profit to justify the discount?
- Are high-discount observations concentrated in a particular period or product group?

5. Guardrail for the AI Analyst

- Do not invent a percentage discount by multiplying the Discount field by 100.
- Do not call Sales net sales.
- Do not infer that a discount caused a profit decline from correlation alone; describe it as an association unless stronger evidence is available.